

**COMPLETED ACQUISITION BY IMERYS MINERALS LIMITED
OF THE KAOLIN BUSINESS OF GOONVEAN LIMITED**

Summary of provisional findings report

Notified: 24 July 2013

1. On 3 April 2013, the Office of Fair Trading (OFT) referred the completed acquisition by Imerys Minerals Limited (Imerys) of Goonvean Limited (Goonvean) to the Competition Commission (CC) for investigation and report. We are required to take our final decision by 17 September 2013.
2. Imerys acquired Goonvean on 31 October 2012. Both parties were engaged in the extraction and supply of kaolin from sites near St Austell in Cornwall. As by-products of the kaolin extraction process, both parties generated material such as sand and rock (aggregate feedstock). Goonvean also operated in the downstream market for the processing and selling of secondary aggregates. Imerys did not acquire the aggregates part of the Goonvean business.
3. Kaolin is a naturally occurring mineral, commonly known as china clay. It is used in the manufacture of a range of products such as paper, for example as filler or for paper coatings; ceramics, for example sanitaryware and tableware; performance mineral applications, for example paints and adhesives; and life-science applications, for example pharmaceuticals. Before it is supplied for use in these products, kaolin deposits are processed, for example by centrifuging to separate different particle sizes, grinding to produce finer grade kaolin, using magnets to remove other minerals, such as iron, and bleaching to increase whiteness. Kaolin deposits may also be blended with other minerals or other kaolin deposits. The purpose of processing and blending kaolin deposits is to manufacture products which have

particular characteristics suitable for the manufacturing processes for which they are being supplied.

4. We provisionally concluded that the share of supply test was met and that a relevant merger situation had been created.
5. We provisionally concluded that the appropriate relevant kaolin markets were the supply of kaolin for use in paper filler, paper coating, sanitaryware, tableware, performance-mineral and life-science applications in the UK.
6. We considered a separate market for secondary aggregates feedstock where the parties overlapped and assessed the relationship between the upstream market for feedstock and the downstream market for processed secondary aggregates in our competitive assessment. We did not consider it necessary to reach a definitive conclusion on the relevant geographic market for aggregates for the purpose of this inquiry.
7. We considered the situation that would have prevailed absent the merger (the counterfactual). We provisionally concluded that, in the absence of the merger with Imerys, Goonvean would most likely have remained as an independent kaolin producer and would not have been sold to another purchaser.
8. We also provisionally concluded that, in relation to kaolin, Goonvean would have pursued a strategy of increased life-science sales and reduced tableware sales which were dependent on a particular kaolin deposit. We considered that this would have been a long-term strategic change that would have taken time to execute fully. We provisionally concluded that it was most likely that, for the foreseeable future, Goonvean would have continued to supply its existing tableware customers in the UK

but would not have been seeking new tableware customers in order to preserve its limited deposits.

9. We further provisionally concluded that, absent the merger, Goonvean would have continued to produce secondary aggregates and supply under its pre-existing long-term agreement. Our provisional view was also that Imerys would not have started to produce secondary aggregates and would have continued to supply aggregates feedstock. We assessed the effect of any loss of potential competition from the kaolin markets in which the parties did not overlap pre-merger: paper coating and life sciences. In relation to paper coating, we saw no evidence to suggest that any investments were being planned which would have resulted in Goonvean buying new processing equipment that would have enabled it to supply kaolin to this market.
10. Our provisional view was that the characteristics of Goonvean's kaolin which made it suitable for life-science grades could not be replicated by Imerys because they were based on naturally-occurring features which were not present in Imerys's kaolin. We saw no evidence to suggest that Imerys could extract equivalent quality kaolin or had plans to enter the life-science market.
11. We therefore provisionally concluded that the merger has not resulted, and may not be expected to result, in a substantial lessening of competition (SLC) in the markets for the supply of kaolin for paper-coating or life-science applications in the UK.
12. We also considered whether the merger would be likely to lead to an SLC in the supply of secondary aggregates feedstock, or in the supply of processed secondary aggregates. Our provisional view was that the merged entity was not likely to enter the market for secondary aggregates nor, was it to do so, that it would have the incentive to foreclose third parties from processing its feedstock. Therefore we

provisionally concluded that the merger has not resulted, and may not be expected to result, in an SLC in any secondary aggregates market.

13. We assessed the pre-merger competitive situation and the effect on competition of the loss of Goonvean from each of the relevant kaolin markets in which the parties overlapped. We then considered the extent of the competitive constraints which would remain after the merger and therefore the extent of any resulting loss of competition in each of these markets.

Paper filler

14. We found that around 53 per cent of the kaolin produced in the UK was sold for use in the manufacture of paper. Less than 5 per cent of this was sold to UK customers. Each of the three UK producers, Imerys, Goonvean and Sibelco, produced paper-filler kaolin in the UK but the merger parties were the only current suppliers to UK customers.
15. We provisionally concluded that there was limited actual competition pre-merger between Imerys and Goonvean to supply kaolin for paper-filler applications to UK customers. We also found that although customers did not generally see the other UK kaolin producer, Sibelco, as an alternative pre-merger, it was a significant supplier to non-UK customers and had the potential to provide a competitive constraint post-merger similar to that of Goonvean pre-merger. We noted that significant customers within the market had some buyer power in relation to the parties from their purchase of other minerals or the volumes of kaolin they purchased. Our provisional view was that the pre-merger constraint from imports in this market was weak.

16. Taking this evidence in the round, we provisionally concluded, on balance, that the merger has not resulted, and may not be expected to result, in an SLC in the market for the supply of kaolin for paper-filler applications in the UK.

Sanitaryware

17. We found that around 25 per cent of UK-produced kaolin was supplied for use in sanitaryware, such as toilets and washbasins. Most of the UK-produced kaolin was exported with less than 5 per cent sold to customers in the UK. Each of the three UK producers supplied to UK customers.
18. Our provisional view was that pre-merger the parties competed with each other to supply kaolin for sanitaryware applications and competed with Sibelco. We found little evidence to suggest that non-UK suppliers were competing with the three UK suppliers pre-merger. We noted the existence of some customer buyer power.
19. We provisionally concluded that the merger would result in some loss of competition in the supply of kaolin for manufacturers of UK sanitaryware applications. However, our view was that sufficient constraints would remain in the market post-merger. We provisionally concluded, on balance, that the merger has not resulted, and may not be expected to result, in an SLC in the supply of kaolin for sanitaryware applications in the UK.

Tableware

20. Around 8 per cent of UK-produced kaolin was supplied for use in tableware applications and around 90 per cent of this was exported. We found that the merger parties supplied the vast majority of kaolin to UK tableware customers with a small amount of particular grades imported. Sibelco was not active in the UK market.

21. Our provisional view was that switching costs were particularly high in tableware applications and that this limited the ability of customers to switch between suppliers. However, we found that the parties' products were considered by most customers to be the closest alternatives. We found that Sibelco was not a credible alternative, as it did not have the processing equipment to supply the high-quality grades required by UK customers, and that imports were not generally an economically viable option across the full range of products. Therefore, pre-merger, the parties appeared to be closest competitors. We did not find evidence of widespread buyer power among tableware manufacturers.
22. We assessed the effects of the merger against our provisional conclusion on the counterfactual that Goonvean would have continued to supply its existing tableware customers in the UK. Our provisional view was that the merger would effectively result in a reduction from two to one UK suppliers of kaolin to UK tableware manufacturers and would result in the immediate removal of the closest alternative supplier in a market where there were few options for customers.
23. Our provisional view was that the merger was likely to lead to adverse effects for UK customers of Goonvean's tableware grades in the form of disruption to supply and costs caused by the likely withdrawal of grades and higher prices from the merged entity for comparable grades.
24. We provisionally concluded that other constraints were unlikely to be sufficient to prevent these adverse effects. Our provisional view was that entry by Sibelco into this market would not be timely, likely or sufficient to prevent an SLC. We also did not provisionally consider that expansion by importers would be sufficient to offset post-merger price increases. We did not see evidence of widespread countervailing buyer power within the market.

Performance-mineral applications

25. We found that performance-mineral kaolin was the largest UK market supplied by the parties. These applications accounted for about 13 per cent of UK kaolin production and between 60 and 70 per cent of kaolin supplied for these applications was exported. We found that the merger parties supplied over 90 per cent of the volumes supplied to UK customers with the remainder coming from Sibelco and imports.
26. Our provisional view was that there was active competition between the main parties for performance-mineral customers. However, we found that Goonvean did not appear able to compete against Imerys's highly processed grades supplied to this market. Other than these grades, the parties were each other's closest competitors. We found that Sibelco supplied less than 5 per cent of UK-produced kaolin for performance-mineral applications in either the UK or abroad. Imports to the UK were limited to small quantities of premium grades. We did not find evidence that most customers had sufficiently strong bargaining power that they would be able to resist attempts by the parties to increase prices post-merger.
27. Our provisional view was that the merger reduced the number of significant competitors from two to one in the UK market. We noted that Sibelco supplied negligible volumes of kaolin to non-UK customers for performance-mineral applications. We provisionally concluded that expansion by Sibelco in the UK market for the supply of kaolin for performance-mineral applications would not be timely, likely or sufficient to prevent an SLC.
28. We provisionally concluded that, as a result of the merger, the merged entity would have the incentive and ability to increase prices significantly, or otherwise worsen the offering, to UK customers of kaolin for use in performance-mineral applications. We

noted that this incentive and ability would not apply to Imerys's highly-processed kaolin grades for which Goonvean could not provide an alternative pre-merger.

29. Our provisional view was that the efficiencies claimed by the parties to have arisen from the merger were not rivalry-enhancing and therefore were not likely to prevent an SLC. We also provisionally concluded that entry into the market by a new UK supplier of kaolin was not timely, likely or sufficient to prevent an SLC.
30. We therefore provisionally concluded that the merger has resulted, or may be expected to result, in an SLC in the markets for the supply of kaolin for tableware and performance-mineral applications in the UK.